

6/5/26

Double Entry System

I Very short Answer Questions:-

Q1 What is double entry system of book-keeping?

Ans Double entry system refers to a system of accounting in which every transaction affects at least two accounts simultaneously. One of them is debited and other is credited.

Q2 What are personal accounts?

Ans The accounts which relate to an individual, firm, company or an institution are called personal accounts.

Q3 What are real accounts?

Ans The accounts of all those things whose value can be measured in terms of money and which are the properties of the business are termed as Real accounts such as cash account, furniture account, etc.

Q4 What are Nominal accounts?

Ans These are the accounts which are in name only and which do not really exist such as the accounts of all expenses and incomes.

Q5 What is the rule of recording transactions in Personal accounts?

Ans Debit the receiver and credit the giver.

Q6 What is the rule of recording transactions in Real accounts?

Ans Debit what comes in and credit what goes out.

Q7 What is the rule of recording transactions in Nominal accounts?

Ans Debit the expenses and losses and credit incomes and gains.

II Short Answer Questions:-

Q1 What are the types of accounts? Give two examples of each.

Ans There are two main types of accounts:-

(a) Personal accounts:

The accounts which relate to an individual, firm, company or an institution. Ex- Account of Wabeda University, Account of Kyoto University.

(b) Impersonal accounts:

It is divided into two types of accounts -

(i) Real accounts - Accounts of all those things whose value can be measured in terms of money and which are the properties of the business.

(ii) Nominal accounts - Accounts which include the accounts of all expenses and incomes.

Q2 "Every debit must have a corresponding credit." Discuss.

Ans In the Double Entry System, every transaction affects two accounts: one is debited and the other is credited with an equal amount. This principle ensures that the accounting equation ($\text{Assets} = \text{Liabilities} + \text{Capital}$) always remains balanced, providing accuracy, completeness, and a scientific record of financial data.

Q 3 State the types of personal accounts.

Ans There are three types of personal accounts:-

(a) Natural Personal Accounts:

Accounts of 'Natural Persons' means the accounts of human beings.

Ex- Mohan's account, Soham's Account, etc.

(b) Artificial Personal Accounts:

These accounts do not have physical existence as human beings but they work as personal accounts.

Ex- Any Firm's account, any bank's account, etc.

(c) Representative Personal Accounts:

When an account represents a particular person or group of persons, it is termed as Representative Personal accounts.

Ex- Prepaid Insurance account, Accrued Interest account, etc.

Q 4 Give the rules of debit and credit of the three types of accounts.

Ans The rules of debit and credit of the three types of accounts are:-

- (a) Personal Accounts - 'Debit the receiver and credit the giver.'
- (b) Real Accounts - 'Debit what comes in and credit what goes out.'
- (c) Nominal Accounts - 'Debit the expenses and losses and credit incomes and gains.'

Q5 What is Intangible Real Account? Give two examples of such type of accounts.

Ans Intangible Real Accounts are those accounts which represents things which cannot be touched, but, of course, their value can be measured in terms of money. Examples are: Goodwill account, Patents account, etc.

Q6 Give two examples of Representative Personal Accounts.

Ans Two common examples of Representative Personal Accounts are:

- (a) Outstanding salaries Account - Represents salaries payable to employees.
- (b) Prepaid Rent Account - Represents rent paid in advance on behalf of the landlord.

III Practical Questions:-

(Q1) Classify the following accounts under personal, real or nominal accounts:

- (i) Commission Paid
- (ii) Commission Received
- (iii) Commission Accrued
- (iv) Prepaid Salaries
- (v) Leasehold Property A/c
- (vi) Discount Allowed
- (vii) Conveyance Towards A/c
- (viii) Life Insurance Corporation of India
- (ix) Drawings A/c
- (x) Rent received in Advance
- (xi) Debtors
- (xii) Sales A/c
- (xiii) Rent Paid in Advance
- (xiv) Bank Overdraft

Ans Personal Accounts: (iii), (iv), (viii), (ix), (x), (xi), (xiii), (xiv)

Real Accounts: (v)

Nominal Accounts: (i), (ii), (vi), (vii), (xii)